DIVERSIFICATION BENEFITS OF PRIVATE CAPITAL

Learning Outcome

- describe the diversification benefits that private capital can provide

Since the performance of private debt and private equity greatly depend on the specific phase of a company's life cycle, performance, and risk, comparison of public debt and equity may not be appropriate. First, investing in a start-up carries greater risk than investing in a well-established firm. Second, investing in a company in a declining or disintermediated industry is unlikely to offer positive return over longer time horizons. Moreover, performance risk of a continuous investment in public equity and debt can easily be hedged away.

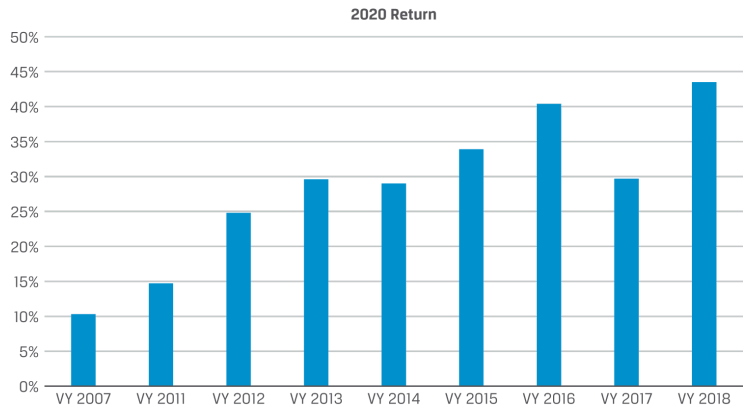
The vintage year is important for comparing private equity and VC investments with other funds in the same year. Each private equity fund carries a **vintage year**, typically defined as the year in which the fund makes its first investment. Typically, a private equity fund operates over a 10- to 12-year period, which is often segmented into an initial investment period and a subsequent harvesting period. The investment period usually is the first five years during which the capital is sourced from the limited partners and invested in various companies. The harvesting period is the remaining years of the fund, when the fund looks to exit its existing investments and to return capital to limited partners.

Because of changing business and valuation environments, funds of a certain vintage have the advantage of starting in a low-valuation, low-risk appetite, economic recovery phase and benefit from riding the wave of an economic recovery. Other vintages may be less fortunate and invest the bulk of their capital in a high-valuation environment preceding a market crash or a period of prolonged economic contraction. That is why investors are encouraged to pursue vintage diversification by investing in multiple vintage years.

The performance realized by the fund is greatly determined by the vintage year and the phase of the business cycle in which the vintage year occurred, as Exhibit 5 shows. Funds seeded during the expanding phase of the business cycle tend to earn excess returns if they fund early-stage companies. Funds seeded during the contracting phase of the business cycle tend to earn excess returns if they fund distressed companies.

Exhibit 5:

US Private Equity Index Vintage Year Returns, Net Fund-Level Performance

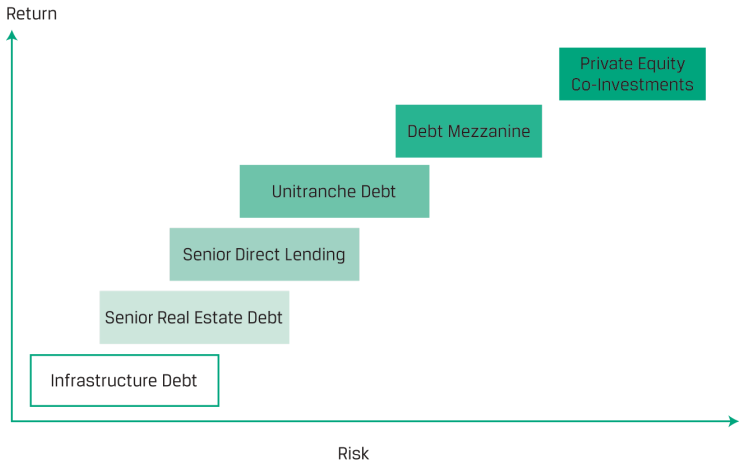


Source: Cambridge Associates, data as of December 31, 2020. https://www.cambridgeassociates.com/benchmarks/us-pe-vc-benchmark-commentary-calendar-year-2020/

Investments in private capital vary in terms of risk and return across the corporate capital structure hierarchy. Typically, private equity, as the riskiest alternative, offers the highest returns, with private debt returns declining on a continuum down to the safest, most secured form of debt—infrastructure debt. Exhibit 6 outlines various private equity and private debt categories by their risk and return levels (mirroring the risk–return pathway for traditional equity and debt investing, note the trade-off as investors select between junior and senior debt and between equity and debt).

Exhibit 6:

Private Capital Risk and Return Levels by Category



Source: Based on a graph from Leon Sinclair, "The Rise of Private Debt," IHS Markit (7 August 2017).

Investments in private capital funds can add a moderate diversification benefit to a portfolio of publicly traded stocks and bonds. Correlations with public market indexes vary from 0.63 to 0.83, as shown in Exhibit 7. And if investors identify skillful fund managers, benefits from excess returns given the additional leverage, market, and liquidity risks are possible.

Exhibit 7:

Private Capital's Average Correlations with Public Market Indexes, March 2008–June 2021

	S&P 500 Total Return	Russell 2000 Total Return	MSCI World Total Return
Preqin, Private Equity	0.80	0.76	0.81
Preqin, Venture All Stage	0.65	0.67	0.63
Preqin, Buyout	0.82	0.76	0.83
Preqin, Private Debt	0.82	0.77	0.86

Source: Annualized quarterly returns of Private Capital Quarterly Index rebased to 31 December 2007, provided by Preqin.

Question Set

comparisons with public debt and equity inappropriate.

Hide Solution

Solution:

There are several private debt and equity investment factors that can invalidate such comparisons:

- Start-up investments carry greater risks than those of established firms.
- Investments in declining industries are unlikely to sustain gains over the long term.
- Ongoing performance risk in private investments can't be easily hedged.

2. Describe the life cycle segments of a private equity fund.

Hide Solution

Solution:

The year in which a private equity fund makes its first investments is called its vintage year. Typically, operations span a 10- to 12-year period, which is often segmented into an initial investment period and a subsequent harvesting period. The investment period usually is the first five years during which the capital is sourced from the limited partners and invested in various companies. The harvesting period is the remaining years of the fund, when the fund looks to exit its existing investments and to return capital to limited partners.

3. Identify the following statement as true or false:

A private equity fund whose vintage dates to a high-valuation environment *most likely* starts with an advantage in having rich prices for its assets.

Hide Solution

Solution:

False. Funds starting in a low-valuation, low-risk appetite, economic recovery phase benefit from riding the wave of an economic recovery and have an advantage over other vintages investing the bulk of their capital in a high-valuation environment preceding a market crash or a period of prolonged economic contraction.

4. Match the form of private capital investment with its *most likely* position on the risk/return continuum.

Investment Form	Risk/return combination
1. Mezzanine Financing	i. Lowest risk and return
2. Private Equity	ii. Intermediate risk and return
3. Senior Direct Lending	iii. Highest risk and return

Hide Solution

Solution:

Investing in private debt and equity mirrors the risk–return pathway for traditional equity and debt investing. As investors select between senior and junior debt and between equity and debt, the potential risks and returns increase. Therefore, the lowest risk and return come from senior direct lending, and the highest risk and return are from private equity, while mezzanine financing falls in between the two.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

1. Mezzanine Financing	ii. Intermediate risk and return
2. Private Equity	iii. Highest risk and return
3. Senior Direct Lending	i. Lowest risk and return

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Program Curriculum on Bloomberg.

{PEXP} PRIVATE EQUITY PORTFOLIO EXPOSURE

The Bloomberg PEXP function allows you to view a database of private equity and private debt holdings.

> "PEXP <GO> provides transparency into private equity portfolio exposure for general partner and limited partner portfolios. You can analyze a portfolio's exposure to company domicile, company sector, fund strategy, and other factors, so you can compare risk exposure between portfolios and evaluate investment opportunities. PEXP is divided into a toolbar and four sections that display overview tables of different categories of portfolio exposure." -Bloomberg

To explore this function, first type a security–such as California Public Employees' Retirement System (or 3261Z US Equity)—into the Bloomberg command line and press Enter or <GO>. Then select 12) PEXP from the popup menu. In the "By Fund Strategy" section at the bottom right, view the Buyout, Debt, Growth, and Venture holdings, among others, of any limited partner.

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Discuss Filter

Discussion

What do you want to discuss... (required)

GO "Rich prices" - this is way too vague for a candidate to interpret and would drastically change someones answer

Created 2 months ago by Gabriel Oluwapelumi Oghughu 0 replies | Last Activity: 2 months ago

Reply to this Comment

Created 5 months ago by Ruan Acker

1 reply | Last Activity: 5 months ago

Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search